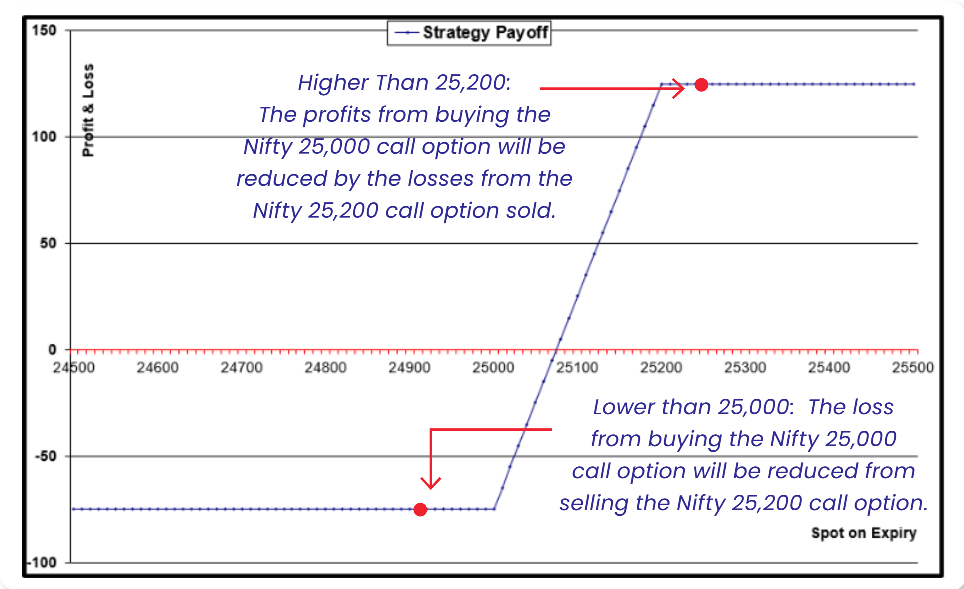
The pay-off from the strategy can be visualised as follows:



4.1.2 Bull call ratio spread

In a bull call ratio spread, we buy one call and sell two calls. It lowers our premium even further. This strategy also has a lower premium than a bull call spread. **Typically, we apply this strategy when we expect the market to move upwards, but only slightly.**

If the market moves up significantly, our risk could be unlimited. This strategy also has a lower maximum profit than the bull call spread.

So, this strategy is appropriate for a risk-taking trader in a market that is not very volatile.